

MERTON DAILY BRIEF

Macro Report - Merton Ranger

1. Headline of the Day

US-Iran deal on verge of completion, oil above \$70, Warsh takes Fed helm - US equity markets finished higher (Dow record close), driven by the announcement of an imminent agreement between Washington and Tehran to end hostilities in the Persian Gulf. WTI moves back above \$70 (+2.36%), gold corrects below \$4,000 (-0.99%), and VIX drops to 17.65 (-9.44%) amid "Extreme Fear" (FNG: 15). Kevin Warsh begins his first day as Fed Chair in a highly charged monetary policy environment.

2. Global Sentiment

Indicator	Level	Change	Signal
VIX	17.65	-9.44%	Strong drop = relief
Fear & Greed	15	Extreme Fear	Contrarian bullish
S&P 500	7,440.43	-0.43%	Slightly negative
NASDAQ	25,820.15	-1.32%	Tech under pressure
DX	101.37	-0.06%	Neutral
Gold	\$3,990.60	-0.99%	Correcting
Silver	\$57.75	-1.03%	Weak
Copper	\$6.18	+1.80%	Bullish
WTI	\$70.22	-2.36%	Volatile
Brent	\$73.47	-2.38%	Volatile
BTC	\$59,476.85	-0.90%	Neutral
US 10Y	4.374%	-2.65%	Drop = risk-on
US 30Y	4.86%	-1.62%	Drop = risk-on

Read: Apparent paradox - VIX drops sharply (-9.44%) while Fear & Greed is at 15 (Extreme Fear). This divergence is explained by the sudden resolution of geopolitical risk (Iran deal) triggering massive short-covering in puts. Gold corrects despite geopolitical tension because the market is pricing a hawkish Warsh (higher rates for longer) + Iran risk resolution = lower safe-haven flows. Yields drop because the market anticipates Warsh will be more cautious than expected. Contrarian signal: Extreme Fear + falling VIX = potential short-term rally.

3. Macro - What Moved

****US****

- ****Kevin Warsh becomes Fed Chair**** - Appointed by Trump, Warsh takes office with a hawkish reputation. His first day includes strategic hires including a "Project 2025" author. FT headlines "Figuring out the Fed in the 'say less' era" - deliberate silence or confusion?
- ****Supreme Court: Trump can fire Fed governors, EXCEPT the chair**** - Historic ruling preserving partial Fed independence. The Court affirms presidential power but with a "carve-out" for the governor. Implication: Warsh is protected, but the precedent is dangerous for future central bank independence.
- ****US-Iran deal announced**** - Trump calls it "unconditional surrender" by Iran. Iranian tankers begin transiting the Strait of Hormuz again. WTI oil back above \$70. White House promises "limits" on Iran's nuclear program.
- ****Chicago PMI at 62.7 (vs 61.0 consensus, 58.1 previous)**** - Massive upside surprise. Chicago manufacturing activity explodes, signaling broader economic resilience.
- ****JOLTs Job Openings at 7.618M (vs 7.40M consensus, 7.30M previous)**** - Job openings rise again, confirming a tight labor market. This pushes back rate cut expectations.
- ****CB Consumer Confidence at 93.1 (vs 94.0 consensus, 94.7 previous)**** - Slight decline, consistent with persistent inflation.
- ****Supreme Court: "Trump said he loves inflation"***** - Bloomberg analysis: Warsh could find an ally in Trump if inflation rises, because Trump prefers growth to inflation-fighting. Implication: Fed under Warsh could be LESS hawkish than markets are pricing.
- ****S&P/Case-Shiller Home Price YoY at 0.8% (vs 0.9% previous)**** - Housing market remains under pressure but stabilizing.

****Europe****

- ****ECB raises rates for the first time since 2023**** - Rising energy costs from the Iran war forced the ECB to act. Lagarde says "Europe is becoming more resilient to economic shocks." Market pricing accelerated tightening path.
- ****ECB Schnabel Speech today (13:45 CET)**** - Highly anticipated speech from the most hawkish Governing Council member. Markets seeking clues on future rate path.
- ****Economic Sentiment ZEW at 95.0 (vs 94.3 previous)**** - Slight improvement, driven by Iran risk resolution.
- ****Consumer Confidence Final at -17.7 (vs -17.7 previous)**** - Stagnation. European consumers remain pessimistic despite falling energy prices.
- ****Loans to Companies YoY at 4.0% (vs 3.6% previous)**** - Credit recovery to businesses, positive for investment.
- ****M3 Money Supply YoY at 3.2% (vs 2.9% previous)**** - Slight monetary expansion, consistent with gradual tightening.

****China****

- ****NBS Manufacturing PMI at 50.3 (vs 50.0 consensus, 50.1 previous)**** - Manufacturing expansion confirmed, barely above 50. Fragile but positive signal.
- ****NBS Non-Manufacturing PMI at 50.2 (vs 50.5 consensus, 50.1 previous)**** - Disappointment: services sector misses expectations, suggesting post-Covid recovery is losing steam.
- ****RatingDog Manufacturing PMI at 51.7 (vs 51.4 previous)**** - Private data confirms uptrend, but levels well below 2024 peaks.
- ****RatingDog Services PMI at 53.6 (vs 54.0 previous)**** - Services cooling, concerning for domestic

consumption.

- ****Industrial Profits YTD YoY at 18.8% (vs 20.0% consensus, 18.2% previous)**** - Declining industrial profits, signal of margin pressure.
- ****Bloomberg: "Chinese Economic Momentum Stirs Anew But Slowdown Remains Likely"***** - Despite stimuli, China remains on a structural slowdown trajectory.

****UK****

- ****BoE holds rates at 3.75%**** - Unanimous decision, with prospects for future hikes. Market pricing a hawkish BoE responding to energy inflation.
- ****UK inflation steady at 2.8% in May**** - Inflation is no longer declining, trapping the BoE in a restrictive position.
- ****UK economy shrank 0.1% in April**** - Technical recession looming if next quarter is also negative. Iran conflict weighed on growth.
- ****Mortgage Approvals at 56.21K (vs 65.4K previous)**** - Severe drop in mortgage approvals, signal of rapidly slowing housing market.
- ****BoE Pill Speech today**** - Governor Pill likely commented on rate trajectory.

****Japan / Asia****

- ****Yen at 40-year low (USD/JPY 162.24)**** - Japanese currency continues to collapse despite interventions. BoJ is torn between the need to tighten and economic fragility.
- ****Former BOJ Official: next hike probably before December**** - Signal that BoJ could finally normalize policy, which would support the yen.
- ****Katayama maintains "stable" tone**** - BoJ Governor remains cautious, disappointing yen bulls.
- ****South Korea tightens property curbs**** - Chip boom has driven home prices up, forcing government intervention.
- ****Taiwan Dollar under pressure**** - Record dividend payouts putting pressure on local currency.

****Emerging Markets****

- ****Argentine Economy Contracted in April**** - Uneven growth, Argentina remains in difficulty despite IMF support.
- ****Egypt Edges Closer to \$1.6 Billion IMF Payout**** - Progress in negotiations, potential liquidity relief.
- ****Mexico Central Bank Adds Bond-Buying Tool**** - Central bank innovates with new liquidity tool, signaling stress.
- ****Congo Orders Cobalt Minters to Give Up Unused Export Quotas**** - Africa tightens control over strategic resources, bullish for cobalt prices.

4. Geopolitics

****Hot****

- ****US-Iran deal in finalization**** - Trump announces "Qatar talks" on Tuesday. Iran accepts "limits" on its nuclear program in exchange for oil sanctions relief. Iranian tankers resume Hormuz transit. This is the

biggest geopolitical shift since the 2015 original deal.

- ****Iran threatens to control the Strait of Hormuz**** - Tehran warns that ships transiting without their agreement are "unacceptable and dangerous." Double game: Iran negotiates with the US while brandishing the blockade threat to maximize leverage.
- ****ECB hawkish on Iran energy**** - ECB raises rates explicitly because of the Iran war "increasing energy costs." Europe is directly impacted by the Gulf conflict.

****Watch****

- ****EU-China: October deadline to reset trade ties**** - Both sides buy time but demand deficit reductions. Risk of trade war in Q4 2026 if no deal.
- ****China blacklists more Japan firms**** - Escalation in Sino-Japanese trade war, linked to Taiwan tensions and Senkaku Islands.
- ****Supreme Court Fed ruling**** - Decision creates a dangerous precedent for central bank independence. Markets have not yet fully priced the institutional risk.
- ****Putin ties himself to ruling party as war fatigue bites**** - Russia prepares for prolonged Ukraine conflict.

****Positive****

- ****Trump pauses duties on Moroccan fertilizer**** - Positive trade gesture, signaling selective tariff de-escalation.
- ****Hormuz Traffic Picks Up**** - Supertankers resume navigation in the Persian Gulf, reducing energy supply risk.
- ****Global oil market will be "safer"**** - National Economic Council Director Hassett confirms Iran conflict resolution will stabilize oil markets.

5. FX Focus

Pair	Level	Change	Signal
EUR/USD	1.1395	+0.13%	Neutral, range
GBP/USD	1.3231	+0.23%	Slightly bullish
USD/JPY	162.24	+0.40%	Yen in freefall
USD/CHF	0.8097	0.00%	Neutral

Analysis: FX is dominated by two opposing forces: (1) the Japanese yen collapse (USD/JPY 162 - 40-year low) reflecting the massive rate differential between ultra-accommodative BoJ and restrictive Fed, and (2) dollar strength against other major currencies (DXY 101.37) supported by safe-haven status and high rates. EUR/USD is stuck in a range - ECB hawkishness supports the euro, but dollar strength and weak European growth cap it. GBP/USD benefits from BoE hawkishness but suffers from UK technical recession.

Pair to watch: USD/JPY - Critical psychological level at 162. If BoJ doesn't tighten soon, 165 is the next target. If BoJ intervenes or signals a hike, massive short-covering toward 158. Watch Katayama's comments and JGB data.

6. Commodities

****Oil****

- ****WTI at \$70.22 (-2.36%)**** - Despite the day's drop, WTI is up +5% on the week following the Iran deal announcement. Market pricing Persian Gulf supply normalization.
- ****Brent at \$73.47 (-2.38%)**** - Same dynamic. Brent remains below \$75, suggesting the market sees the Iran deal as durable.
- ****Morgan Stanley warns of "Glut Risks"***** - Bank warns of oversupply risk if Iran resumes full exports. OPEC+ may need to cut further.
- ****Growing Oil Glut Spurs Asian Refiners to Offer Cargoes to the US**** - Asian refiners seeking to offload stocks, confirming structural surplus.
- ****API Crude Oil Stock Change tonight (20:30 CET)**** - Watch inventory data to confirm the trend.

****Gold****

- ****Gold at \$3,990.60 (-0.99%)**** - Gold corrects for the 4th consecutive time, on track for its biggest monthly drop since 2008. Iran deal reduces safe-haven demand + hawkish Warsh = double downward pressure.
- ****Gold faces biggest monthly drop since late 2008**** - Massive outflows from ETFs. Post-war repositioning is brutal.
- ****Technical target:**** Support at \$3,950. If broken, \$3,900 (psychological) then \$3,850 (estimated 200-day MA).

****Silver / Copper****

- ****Silver at \$57.75 (-1.03%)**** - Following gold down, with additional bias from slowing industrial demand.
- ****Copper at \$6.18 (+1.80%)**** - Bullish divergence! Copper benefits from Chinese recovery (PMI > 50) and energy infrastructure demand. Positive signal for global sentiment.

****Soft****

- ****Quarterly Grain Stocks (US) today**** - Corn, soybean, and wheat stocks published at 16:00 CET. Watch for impact on agricultural prices.
- ****Bloomberg: "Miners Turn South African Stocks From World-Beaters to Laggards"***** - Mining commodities underperforming, signal of slowing global demand.

7. Today's Calendar

Time (CET)	Country	Event	Consensus	Previous	Impact
05:00		BoE Pill Speech (alr	-	-	
08:00		Loans to Companies	3.6%	3.4%	
09:00		Economic Sentimen	94.3	94.5	
09:00		Consumer Confiden	-17.7	-17.7	
13:45		**ECB Schnabel Spe	-	-	

13:00		S&P/Case-Shiller Ho	0.9%	0.8%	
13:45		**Chicago PMI**	61.0	58.1	
14:00		**JOLTs Job Opening	7.40M	7.30M	
14:00		**CB Consumer Cor	94.0	94.7	
14:30		Dallas Fed Manufac	0.4	2.0	
20:30		**API Crude Oil Stoc	-	-	

Week Ahead (July 2026)

- ****Wednesday July 1:**** ISM Manufacturing PMI (US), Construction Spending
- ****Thursday July 2:**** ADP Employment, Jobless Claims, Factory Orders
- ****Friday July 3:**** ****NFP (Non-Farm Payrolls)**** - The most important report of the week. Consensus ~180K. A weak result will accelerate rate cut expectations.
- ****Monday July 6:**** ISM Services PMI, Factory Orders Final

8. Deep Macro Theme

The great misunderstanding of 2026: "Hawkish Fed + Geopolitical Resolution = Risk-Off" is wrong.

The market consensus in 2025 was that a hawkish Fed + geopolitical tensions = bearish environment. The reality of June 2026 is exactly the opposite: resolving the Iran conflict (the biggest geopolitical risk) triggers a flow of capital into equities via VIX short-covering. The VIX at 17.65 dropping -9.44% in a single day is not a fear signal - it's the aftershock of a market that had priced too much war risk.

The real theme of Summer 2026 is "Geopolitical Normalization": Iran returns to the oil market, Europe accelerates energy independence (hence ECB hawkishness), and China attempts targeted stimulus to revive growth. This theme is bullish for equities but bearish for gold and safe-havens.

The risk? The Iran deal collapses. Polymarket prices only a 10% probability that France sends warships through the Strait of Hormuz by June 30, suggesting tension persists beneath the surface. If hostilities resume, oil will rocket back to \$85+ and gold will bounce to \$4,200+.

The key question for July: Will Warsh really be hawkish? The market is pricing a moderate Warsh (less hawkish than initially expected) because Trump prefers growth. If Warsh confirms this expectation at his first press conference, the equity rally continues. If he surprises hawkish, expect a 3-5% S&P correction.

9. Consensus vs Reality - THE ALPHA

What the market is pricing:

1. Fed Warsh = hold rates in July - 85% probability. TRUE - Warsh won't surprise in his first month. He'll wait for data.
2. ECB = 2 more hikes in 2026 - Priced at 70%. UNCERTAIN - If European growth deteriorates (services PMI

declining), the ECB may only hike once more.

3. Iran deal = durable - Priced at 90%. RISKY - Iran has a history of double-dealing. The "nuclear limits" could be circumvented. The fact that France considers sending warships (2.3% Polymarket) suggests even allies don't fully trust it.
4. Yen = rebound to 155 by end of 2026 - Priced at 60%. FALSE - Without G7 coordinated intervention or aggressive BoJ hike, the yen remains on a downward trajectory. The rate differential is too large.
5. Gold = return to \$3,800 - Priced at 65%. LIKELY - If the Iran deal holds and the Fed stays hawkish, gold has no short-term bullish catalyst.
6. S&P 500 = new ATH in July - Priced at 55%. POSSIBLE BUT NOT GUARANTEED - Depends on Friday's NFP. If employment weakens, the rally stops.
7. Oil = return to \$65 - Priced at 40%. TOO OPTIMISTIC - Even with Iran returning, OPEC+ will maintain cuts to support prices. The floor is \$70.

The Alpha:

1. Long Copper / Short Gold (ratio trade) - Copper bullish (+1.80%) while gold bearish (-0.99%). This ratio benefits from industrial recovery AND safe-haven decline. Entry: Cu/Au ratio = 0.00155. Target: 0.00170. Invalidation: 0.00145.
2. Long USD/JPY 162.24, target 165, SL 159 - The yen has no short-term bullish catalyst. BoJ is in wait-and-see mode while the Fed is hawkish. Attractive carry. Risk: BoJ intervention.
3. Short WTI crude oil July contract, target \$67, SL \$73 - Morgan Stanley warns of a "glut." Tonight's API stocks could confirm the surplus. Market pricing too much optimism on Iran deal durability.
4. Long NASDAQ volatility (VIX calls) if VIX < 16 - VIX at 17.65 in Extreme Fear is a trap. If short-covering ends, VIX could rebound to 20. Buy VIX 20 calls at 2-week expiry.
5. Long EUR/GBP cross - ECB is more hawkish than BoE (which faces a recession). EUR/GBP can rise toward 0.8650 (currently ~0.8600). Entry: 0.8590. Target: 0.8700. SL: 0.8500.

10. Merton's Take

We are in a "Transitional Relief" regime - resolving the year's biggest geopolitical risk (Iran) triggers a relief rally, but macro fundamentals remain fragile. The VIX at 17.65 and Fear & Greed at 15 are contrarian bullish signals short-term, but let's not be fooled: this is not a structural bull market.

The key driver over the next two weeks will be Warsh's first press conference (likely mid-July). The market has priced a moderate Warsh, and I think it's right. Warsh is a pragmatist - he knows Trump wants growth, and he has no reason to tighten aggressively amid geopolitical resolution. If I'm wrong and Warsh surprises hawkish, I'll immediately reduce all risk-on exposure.

My conviction: S&P 500 tops out between 7,450 and 7,500 before correcting 3-5% into Friday's NFP. The Chicago PMI at 62.7 is a bullish anomaly that won't repeat. Wednesday's ISM Manufacturing is the real test.

Trade of the week: Long USD/JPY 162 → 165. This is the clearest trade right now - the rate differential is massive, BoJ is powerless, and carry is positive. I'm risking 1% of capital with a stop at 159.

Positioning: 60% cash | 20% long USD/JPY | 10% long copper | 10% short WTI. No gold, no BTC, no US equities until NFP is cleared.

Avoid: Tech stocks (Mag7 shed \$2.3tn in rotation), safe havens (gold, CHF), and Japanese yen.

11. Sources Consulted

- Yahoo Finance API (all real-time prices)
- Alternative.me Fear & Greed Index
- Bloomberg RSS (markets, economics, politics)
- FT RSS (home, markets, world)
- CNBC Economy, Fed, Oil, World pages
- Trading Economics (US, EU, UK, China calendars)
- Polymarket API (top 50 markets by volume + keyword filter)
- Bloomberg headlines (Hormuz, Morgan Stanley, HSBC, etc.)
- FT analysis (Fed independence, tech rotation, Kazakhstan oil)

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